

The credit exposure is bilateral in most derivative transactions, such as swaps (which make up the bulk of bank derivative contracts). Each party to the contract may (and, if the contract has a long enough tenor, probably will) have a credit exposure to the other party at various times during the contract's life. With a funded traditional loan, the amount at risk is the amount advanced to the borrower. The credit risk is unilateral as the bank faces the credit exposure of the borrower.

Measuring credit exposure in derivative contracts involves identifying those contracts on which a bank would lose value if the counterparty to a contract defaulted. The total of all contracts with positive value (i.e., derivative receivables) to the bank is the gross positive fair value (GPFV) and represents an initial measurement of credit exposure. The total of all contracts with negative value (i.e., derivative payables) to the bank is the gross negative fair value (GNFV) and represents a measurement of the exposure the bank poses to its counterparties.

GPFV increased by \$29 billion (1.7 percent) in the first quarter of 2019 to \$1.8 trillion, driven by a \$123 billion (12.2 percent) increase in receivables from interest rate contracts offset by a cumulative decrease of \$93 billion in FX, equity and commodity receivables (see table 3). GNFV increased \$31 billion (1.8 percent) to \$1.7 trillion during the quarter, driven by a \$116 billion (12.1 percent) increase in payables on interest rate contracts offset by a cumulative decrease of \$88 billion in FX, equity and commodity receivables.

Table 3: Gross Positive Fair Values and Gross Negative Fair Values, in Billions of Dollars

	1Q 2019	4Q 2018	Q/Q Change	Q/Q % Change	1Q 2018	Y/Y Change	Y/Y % Change
Interest rate	\$1,130	\$1,007	\$123	12.2%	\$1,132	-\$2	-0.2%
Foreign exchange	\$444	\$511	-\$67	-13.2%	\$454	-\$10	-2.3%
Equity	\$117	\$132	-\$15	-11.1%	\$125	-\$7	-5.9%
Commodities	\$33	\$44	-\$11	-25.8%	\$44	-\$11	-25.5%
Credit	\$43	\$43	\$0	-0.4%	\$59	-\$15	-26.4%
Gross positive fair value	\$1,767	\$1,738	\$29	1.7%	\$1,814	-\$47	-2.6%

	1Q 2019	4Q 2018	Q/Q Change	Q/Q % Change	1Q 2018	Y/Y Change	Y/Y % Change
Interest rate	\$1,076	\$960	\$116	12.1%	\$1,081	-\$4	-0.4%
Foreign exchange	\$433	\$500	-\$67	-13.4%	\$426	\$7	1.6%
Equity	\$118	\$126	-\$8	-6.3%	\$118	-\$1	-0.4%
Commodities	\$34	\$46	-\$13	-27.1%	\$45	-\$11	-25.2%
Credit	\$45	\$43	\$2	3.8%	\$60	-\$15	-24.6%
Gross negative fair value	\$1,706	\$1,675	\$31	1.8%	\$1,730	-\$24	-1.4%

Source: Call reports, Schedule RC-L

A legally enforceable netting agreement between a bank and a counterparty creates a single legal obligation for all transactions (called a “netting set”) under the agreement. Therefore, when banks have such agreements with their counterparties, contracts with negative values (an amount